Every entrepreneur produces goods in anticipation of demand. If his anticipation of demand is correct, then there will be profit and if it is incorrect, there will be loss. It is the profit that induces the entrepreneurs to undertake such risks.

6.11.4 Uncertainty Bearing Theory of Profit

Uncertainty theory was propounded by the American economist Frank H.Knight. To him, profit is the reward for "uncertainty bearing". He distinguishes between "insurable" and "non-insurable" risks.

Insurable Risks

Certain risks are measurable or calculatable. Some of the examples of these risks are the risk of fire, theft and natural disasters. Hence, they are insurable. Such risks are compensated by the Insurance Companies.

Non-Insurable Risks

There are some risks which are immeasurable or incalculatable. The probability of their occurrence cannot be anticipated because of the presence of uncertainty in them. Some of the examples of these risks are competition, market condition, technology change and public policy. No Insurance Company can undertake these risks. Hence, they are non-insurable. The term "risks" covers the first type of events (measurables - insurable) and the term "uncertainty" covers the second type of events (unforeseeable or incalculatable or not measurable or non-insurable).

According to Knight, profit does not arise on account of risk taking, because the entrepreneur can guard himself against a risk by taking a suitable insurance policy. But uncertain events cannot be guarded against in that way. When an entrepreneur takes himself the burden of facing an uncertain event, he secures remuneration. That remuneration is "profit".

6.12 Conclusion

In this chapter, the determination of how the prices of various factors of production (namely land, labour, capital, and organization) has been discussed. In short, all the theories are related to factor pricing of factors of production. However,it needs to be understood that no theory can completely comprehend every thing.The reality will always be more complicated than what the theories could predict or perceive.Theories are only guide lines,they cannot predict with 100% perfection.However,the scientific studies attempt to enhance the degree of perfection.

GLOSSARY

1. **Distribution** – Distribution of wealth among agents or the owners of the factors of production.
2. **Rent** – Rent is reward for the use of land.

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